

Sapphire Data Intelligence

2000 Data Hub Pkwy, Austin, TX 78745 | Confidential Internal Document

REVENUE SHORTFALL ANALYSIS

Period Ending: April 16, 2025 | Report ID: RPT-CRIT-7162765

EXECUTIVE SUMMARY

Severe deterioration across all key metrics. Revenue is down 24% versus prior period, representing the worst quarterly performance in the company's history. Customer churn has accelerated to critical levels. An emergency Board meeting has been convened. The CFO and COO have been placed on performance improvement plans. External turnaround specialists have been engaged pending Board approval.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	36.8	48.42	-24%	CRITICAL
EBITDA Margin (%)	20.2	32.3	-12.1 pts	At Risk
Customer Retention (%)	74.6	93.4	-18.8%	At Risk
New Customer Acquisition	65	213	-148	CRITICAL
Employee Satisfaction	61/100	73/100	-12 pts	At Risk

RECOMMENDED CORRECTIVE ACTIONS

- Engage a Tier-1 management consulting firm to conduct a 60-day operational review and present a prioritised cost-reduction roadmap to the Board by the end of Q3.
- Implement an immediate hiring freeze and discretionary spend moratorium pending completion of the operational review. CFO to report weekly cash position to the Board.
- Initiate a structured outreach programme to top 20 at-risk accounts with executive sponsorship and tailored retention offers, targeting a churn reduction of at least 15% within 90 days.
- Commission an independent valuation of all non-core business units to identify potential divestiture candidates that could generate liquidity of \$15–25M within 6 months.
- Convene an emergency all-hands leadership meeting within 5 business days to communicate the performance shortfall, outline the recovery plan, and address workforce concerns.

Prepared by: Elspeth MacGregor, Chief Operating Officer
Approved by: _____ | Date: April 21, 2025

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